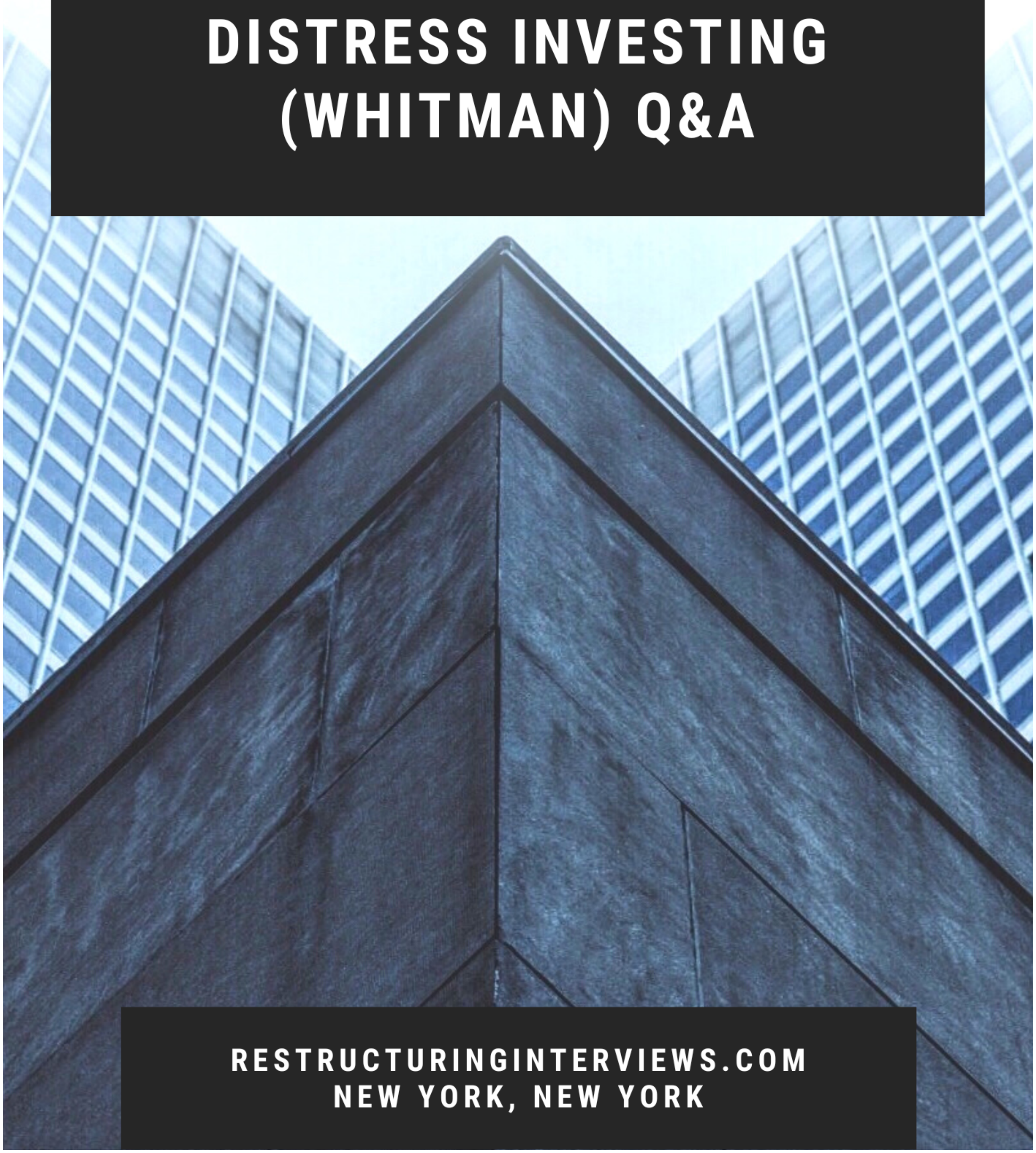
RX INTERVIEWS

DISTRESS INVESTING (WHITMAN) Q&A



RESTRUCTURINGINTERVIEWS.COM
NEW YORK, NEW YORK

INTRODUCTION

A Note Before Beginning…

Distress Investing: Principles and Technique by Martin Whitman is personally my favorite RX book. Primarily because it was written by an actual practitioner who spent his life in the trenches. There are no academic arguments to be found in *Distress Investing*. It's just a book describing what Whitman did day in and day out.

Whitman started Third Avenue Management – still one of the larger distressed funds – and you can read all of his quarterly shareholder letters here.

If you found the Q&A developed from Moyer's book slightly too academic, then you'll love these questions and answers. Both books are important to know and understand, however, so you should take the time to thoroughly go through both.

As always, I've tried to add as much explanation as possible without making answers too redundant with what you've already seen.

Number of Q&A: 78

- **What are debentures?**

Unsecured obligations with covenants that are much less restrictive than those of bank loans. Just another name for bonds. Often, now you'll see US denominated bonds called debentures in cap tables and financials.

- **What does rule 144A do?**

Modifies the restrictions on the secondary selling of privately placed securities to institutional buyers. Thus, allows public companies to issue quickly and avoid delays of a public registration. Deals that do not have registration rights are usually exchanged for an identical series of registered paper, which enhances their liquidity.

- **What makes mezzanine debt unique?**

Much smaller in notional value and are almost always privately placed, highly illiquid, and bought with the expectation of being held to maturity.

Unsecured (mezzanine debt) is always subordinated in rights of payment to bank loans and other senior debt.

- **When did Drexel Burnham Lambert go bankrupt?**

1990

Note: Once again, it's always good to know your history. DBL going bankrupt was a major turning point in distressed investing.

- **When did Campeau corporation default on interest payment on federated department stores junk bonds?**

September 1989

Note: One of the largest defaults at that point, caused many hedge funds (before that term was widely known or accepted) to go bust.

- **Two main groups of syndicated loans?**

Revolver and term loans, which are loans for a specified amount with fixed repayment schedule. There can be more than one revolver (although it's rare) that simply has a different borrowing base (one for a/r, one for inventory, for example). Term loans are often called TLA, TLB, TLC, etc. Usually anything beyond TLB has no amortization, while TLAs have some (along with lower interest rate).

Note: "Syndicated loans" refer to loans that a bank will issue, but then sell off to other counterparties retaining only a small amount of it on their own books. Syndicated loans are, in short, securities that trade in a secondary market because they're held by many different counterparties. You can find out where they are trading via MarkIt and you'll be doing much of that in your day-to-day.

- **What do we mean by leveraged vs. unleveraged loans?**

Leveraged are those with BBB- or Baa3 or lower. Leveraged just means that the credit rating is below investment grade (IG). In other words, rated as high yield.

- **Do investors need to do mark-to-market for credit instruments?**

Yes, under FASB 133 and FASB 157 they are required to do so.

- **Exclusive period to file plan of reorganization once Chapter 11 filed?**

Have a 120-day exclusive period and 180-day period to solicit acceptances. Each can be extended out with the permission of the court.

- **What securities show EMH like efficiencies:**

1. Credit instruments without credit risk (US treasuries)
2. Derivatives, including options, warrants and convertibles
3. Risk arbitrage strategies

Note: Distressed assets do not display the same EMH attributes as many other markets. For a myriad of reasons, most around incentive structures of those who hold on the debt. See the Moyer Q&A and the main guide for more.

- **Differences between LBOs and distressed debt investing?**

- Usually get the largest capital infusion through a Chapter 11 in distressed, unlike in an LBO where a capital infusion is inherent to the design
- More protection in distress investing as not taking equity stakes, taking debt (sometimes very senior debt)
- Securities law less onerous for bond holders than is the case for common stocks
- Not necessary to pay premium to gain control in distress (or to have as much control as you can have blocking capacity of a POR with 33.4%)
    - Remember: When you do M&A, you're almost always paying some premium to buy the company out. In distress, even if you want a large position to have control in the Chapter 11 process, you can still just go out into the secondary market and buy up bonds (although in illiquid markets it can be hard to find all the owners, etc.)
- IRS code less favorable to distress than LBOs where get tax breaks on debt
    - Remember: much of what makes an LBO "work" is the tax shield element

- **What is COD income?**

Cancellation of debt income arises where the debt of the corporation is cancelled or discharged for less that its adjusted issue price. Equals the excess of the adjusted issue price over the consideration paid in the exchange, which could consist of cash (rarely), the market price of newly issued common stock, and the market price (or fair value) of debt instruments.

- **What's OID?**

Original issue discount. Sometimes, in an exchange offer, you'll give $100m notional say of a certain new-issue bond at $90. This is an OID of $10 (as bonds should price at roughly par, but you're pricing them at just $90). An OID obviously raises returns to the note holder as you are still – unless the company goes under – getting back $100 at maturity.

OID is really a form of yield enhancement on the new issuance of securities. It's a way to provide greater yield, while keeping cash interest low (as cash interest obviously comes from the coupon percent, not the yield percent).

How do you preserve NOLs in chapter 11?

Seek court approval of procedures to restrict claims and equity trading. Since you can't have more than half of the re-organized equity not go to current creditors or shareholders, it's important to keep as many as possible with the company through a chapter 11.

How do you force voluntary exchange?

By subordinating existing debt through majority agreement to take new securities. Need 50% to get subordinated as subordination is a non-money clause.

Example: If the company is looking to place new Senior Secured Notes, but there are three tranches of debt behind them, subordination needs to occur (meaning you need 50% or greater consent from the holders in lower tranches given that this is a non-money clause). Why would people agree to be subordinated? Well, because maybe the company needs cash, and the bondholders feel like a turnaround is possibly if the company has this cash infusion from the new bonds. Also, they may feel if the company does file for bankruptcy, there's already so much debt in front of them that they won't even get any consideration in chapter 11. So, something is better than nothing.

How does COD income arise?

Cancellation of debt income arises where debt of the corporation is cancelled or discharged for less that its adjusted issue price (usually its principal amount plus or minus any unamortized premium or discount).

Does a bankrupt company include any COD in taxable income?

No.

How does Chapter 7 work?

A receiver (bankruptcy trustee) collects all of the debtor's assets, sells them, and then distributes the proceeds to creditors in accordance with the rule of absolute priority.

Difference between section 301 or section 303 in Chapter 11?

Voluntary by debtor or involuntarily by creditors or the indenture trustee.

Meaning that the company voluntarily declares Chapter 11 (most common by far) or creditors force them into Chapter 11 (on the basis of technically defaulting for breaking covenants, missing payments, etc.)

What's forum shopping?

This term refers to the fact you can pick where you file the petition for Chapter 11 by domicile, residence, location of principal place of business, or location of principal assets. Most of the time it'll be in Delaware or the Southern District of New York.

Who oversees a corporate bankruptcy?

Office of U.S trustee in supervisory and admin role. One of their first actions is soliciting the 20 largest unsecured creditors for the formation of an official committee of unsecured creditors known as the official creditors committee.

Who are unsecured creditors?

A creditor having claims that do not have a lien on property owned by the company. In other words, they have a general claim on the company's assets, but not a specific claim (i.e. if a piece of equipment is sold they get the proceeds).

What's an automatic stay?

Stay of the acts of creditors to collect from the debtor. Debtor becomes what is called the debtor in possession when they file. The DIP acts as a fiduciary to all creditors and has all the duties and powers of a bankruptcy trustee; the DIP is in charge of the business and is accountable for the property of the estate and its operations.

Why is DIP lending so attractive to lender?

DIP lenders will be granted an affirmation or extension of their existing liens, new liens, and super priority claim status in the event that the value of their collateral is not sufficient to pay those claims and even priming liens; this makes DIP lending a very safe and profitable business.

To be clear, DIP loans are placed at the top of the capital structure, having absolute first priority, and can be made by existing lenders or by an entirely different lender (most of the time it comes from existing lenders).

How long does debtor have to issue POR?

120 days to make plan and up to 180 days to get approval. Can't be extended more than 18 and 20 months respectively.

Do secured creditors always get treated as secured?

If their claim is larger than the value of their collateral the amount of the excess is deemed an unsecured claim (which then belongs to unsecured creditors).

What claims are given priority over other claims?

Section 507 of the bankruptcy code (BRC) explains it.

- Admin expenses
- Wage and pension plan contributions
- Allowed unsecured claims of governmental units

What are the five areas that a POR must contain?

Section 1123 has five mandatory provisions.

1. Plan must designate classes of claims and classes of interest (e.g., must provide a detailed cap structure).
2. Plan must specify any class of claims or interest that are not impaired under the plan (e.g., classes that have full asset coverage thus will not be able to vote)
3. Plan must specify the treatment of any class of claims or interest that are impaired under the plan (e.g., what are you offering them in the re-organized company upon emergence from bankruptcy since they are impaired)
4. Plan must provide the same treatment for each claim or interest of a particular class unless by requisite vote holders agree to a less favorable treatment
5. Plan must provide the adequate means for the implementation of the plan (meaning, the plan must be feasible and achievable).

What classes do not get vote in POR?

Those who will be made whole and those who won't be made whole at all. Only *impaired* can vote (meaning those who have the right to get something, but that something is less than the value of their actual claim). Section 1126 outlines this.

What is needed for a POR to be approved?

The plan is accepted if at least 2/3 of the notional amount (meaning dollar amount of bonds or loans agree) and more than half number of the allowed claims of such a class (meaning half the number of bond or loan *holders*, regardless of how much they hold).

So hypothetically if you have someone who owns 75% of the bonds in a class, they can't vote alone to approve the POR for their class (even though they own over 2/3 of the notional value). Instead 50%-1 of the other holders in the class agree as well, even though they hold a much smaller dollar amount of bonds or loans.

What are the three legal tests that need to be passed for the confirmation of the POR?

Plan confirmation has three tests: feasibility, best interest, and cram down.

♞ What is a cram down?

1129B(1) details this. Requires that in the event that not all impaired classes accept the plan the court may still confirm if it does not discriminate unfairly, and it is fair and equitable with respect to those nonaccepting classes. Cram downs are quite rare as it obviously involves the court taking a tough stand against someone who is impaired.

♞ What is best interest test?

Plan confirmation has three tests: feasibility, best interest, and cram down.

Detailed in Section 1129(a)(7). Basically, what the best interest test is saying is that by accepting the Chapter 11 POR you won't be worse off than if the company just did a Chapter 7 liquidation now (as it's in your best interest to get the most value you can, so the Chapter 11 value should exceed the Chapter 7 value).

♞ What is feasibility test?

Once restructured, the debtor will not likely liquidate or will not experience the need for further financial reorganization in the future (Chapters 22s or Chapter 33s). Codified in 1129(11) of the BRC.

In other words, the POR must feasibly put the company on sound footing and not require more restructuring later on.

♞ When does absolute priority rule not apply?

When the plan is accepted by all voting classes by requite majorities. If a class of claims so consents, a class below them can get something even though the consenting class has not been paid in full (made whole). Nothing in the statue says the distributions in a consensual plan need to comply with absolute priority rule.

♞ How are trade claims treated?

Unsecured claims. But if the vendor has sold to debtor while insolvent the vendor has reclamation rights for goods received by debtor up to 45 days prior to Chapter 11 filling.

♞ When can there be *no* cram down?

If the rejecting class will obtain less than full value of their claims or a more junior class will receive any value *at all* under the POR.

For example, if there are two classes of senior secured and secured notes you can't cram down the senior secured if the secured notes receive *anything* in the POR.

- **How long do public companies stay in Chapter 11?**

18 months to 3 years normally unless there is a pre-pack in which case it can be just 30-45 days.

- **Why do asset sales under section 363 instead of chapter 7?**

Management keeps control of process.

- **Why do you add back interest expense in EBITDA?**

Removes capital structure effects on the generation of earnings from operations.

- **Why do you add back tax in EBITDA?**

Since tax liabilities also depends on the company's capital structure (debt acts as a tax shield), this adjustment further removes this effect from estimation of earnings.

- **Why do you add back DA in EBITDA?**

Non-cash expense.

- **What is adjusted EBITDA?**

Net income needs to be adjusted to be reflective of only income and expenses from continuing operations.

- **Where deprecation is lower than the required capex, what happens to EBITDA?**

Overestimates earnings.

- **When does GAAP require restructuring costs to be filled?**

Charged against income in the year in which the decision to restructure is made even though the actual expenditures will take place over time. Liability reserve is often created, and the actual expenses are charged against this reserve.

- **What are asset impairments?**

When the carrying amount of a long-lived asset exceeds its fair value and is nonrecoverable.

See the account Q&A for how we deal with asset impairments / write downs.

What do NOLs become?

Deferred tax assets for a reorganized company.

What's EBITDAR?

Add back lease expense to net income as those that own (not lease) will have higher EBITDA due to depreciation from owning. EBITDAR allows for better comparisons.

What are below market rate leases really?

A significant asset for the reorganized company as they can be assigned in Chapter 11 to a third party (who will highly value a below market lease).

What are valuation multiples really?

Can be interpreted as the present value of a one-dollar annuity. Reciprocal of this number is called the capitalization rate.

How are assignment of leases handled in Chapter 11?

If a company in distress is a tenant under an unexpired commercial lease it will have to either assume or reject the lease after filing for Chapter 11. DIP (what we call a company once it has filed) has 210 days to decide. Chapter 11 allows a debtor to assume or assign a lease to a third part. Third parties will often pay substantial sums to take over leases with rent obligations below current market rates.

How far do NOLs carry forward and back?

Back two years forward 20 years. Hard to preserve through change of ownership under section 382. After change in ownership subject to annual limitation on their future use.

How to qualify for section 382 election for NOLs?

- Shareholders and creditors of the company must end up owning at least 50% of reorganized debtor's stock
- Shareholders and creditors must receive their 50 percent stock ownership in discharge of their interest and in claims against debtor
- Stock received by creditors can be counted toward the 50% test only if it is received in satisfaction of debt that:
    - Had been held by the creditor for at lest 18 months on the date of bankruptcy filing, or…
    - Arose in the ordinary course of the debtor's business and is held by the person who at all times held the beneficial interest in that indebtedness.

- **If selected for section 382 how can NOLs be voided?**

If the business has not continued at all times during two-year period after confirmation of the POR or a second change in ownership occurs within two years the company forfeit the benefit from rule 382. United Airlines is a good example. Had 20b in NOLs, which were voided.

- **Most important areas of 10-K?**

- Item 1A risk factors
- Item 3 legal proceedings
- Item 7 management discussions and analysis (MDA)

- **What are important documents when Chapter 11 filed?**

- Initial filing papers like affidavit signed by senior officer describing the reasons why the debtor is seeking relief under Chapter 11
- Listing of the largest 20 unsecured creditors of record and the five largest secured creditors
- Monthly cash reports
- Court docket (filing with the bankruptcy court)
- Listing of professional fee applications
- Petition to the court for automatic stay
- Listing of preferred creditors, critical vendors, and reclamation credits
- DIP proposals
- POR (plan of reorganization) potentially filed as well

- **Where do you get all the documents for bankruptcy court?**

PACER for bankruptcy court, EDGAR for SEC

- **What exhibits as part of due diligence should you get from EDGAR?**

- Charter and bylaws
- Bond indentures
- Loan agreement for obligations that have an initial maturity of over 270 days
- Employment agreements
- Stock incentive and option plans
- Pension agreements
- Real estate leases

- **If the holding company has only common stock of highly regulated, highly leveraged subsidiaries, can you guarantee holding company debt?**

Cash has to come from subsidiaries. Get this by home office charge, payments pursuant to intracompany tax treaties, and dividends paid by subsidiaries. Most regulators can prevent or limit the number of dividends the regulated subsidiary can pay.

- **What kinds of risk are there in distressed debt?**

- Investment risk
- Credit risk
- Operational risk
- Credit rating risk
- Inflation risk
- Market risk
- Reorganization risk

- **What is equitable subordination risk?**

Section 510(c) of the bankruptcy code gives courts the incredibly expansive power to subordinate a claim on equitable grounds. Courts did this to Citigroup in the Enron case because they believe that Citi operated in bad faith re: Enron. Mobile Steel case too.

Equitable subordination essentially comes down to a business being a fraud (or near fraud) and some creditors having some level of knowledge that this is true, thus making their claim on the company in Chapter 11 void.

- **What is substantive consolidation risk?**

Substantive consolidation is when liabilities of separate legal entities are treated as being merged into one entity. Changes value of creditor claims through invalidation of any priority a claim may have had due to corporate structure and thus affect the potential recoveries of certain creditors. Kmart had this happen to them.

- **What is test for substantive consolidation?**

A two-part test was created by the Second Circuit. Second circuit says the proponent of substantive consolidation must prove either that all creditors dealt with the separate legal entities as a signal economic unit and did not rely on their separate identity or that the affairs of the debtor are so entangled that consolidation will benefit *all* creditors.

Intercorporate credit support and fraudulent conveyance risk?

Intercorporate credit support is when a SubCo agrees to guarantee a loan that is extended to the corporate group parent (HoldCo).

The guarantee is secured by a lien on all of sub's assets. Sub will not receive any of the proceeds of the loan for its own use, but the lender requires the guarantee because it needs the pledged sub assets as collateral to justify making the loan.

If the sub neither receives any of the proceeds nor gets either any direct or indirect benefits from the loan, then the obligations incurred, and transfer made by the sub may be avoided on grounds that it is a fraudulent transfer. Section 548(a)(1).

Note: This is all a fancy way of saying if the parent company gets a loan based off of the assets of a sub-company, but the sub-company gets no direct benefit, then the loan may be voided in bankruptcy.

What's critical vendor payments risk?

Critical vendors are those vendors who are paid post-petition and distressed debt investor has to decide who they think will be in those groups.

Critical vendors, as the name implies, are those who are essential to the company being an on-going concern. In other words, without them the company wouldn't survive so you need to have cash available to pay them. All non-critical vendors have the automatic stay leveled against them, precluding them from the ability to collect on their debts in the short-term.

Deterioration of the value of collateral risk?

If collateral is being used (worn out) then debtor can get extra collateral pledged to make up the difference or if that's inadequate the remaining amount is treated like admin expense and gets priority on losses.

Adequate protection and lifting of the automatic stay for secured debtors is the most litigated part of bankruptcy.

How can you block a POR?

Hold 33.4% of bonds in an impaired class. Can still have cram down if at least one impaired class voted yes and if judge deems deal to be equitable.

- **How much subprime “junk” is still performing? How much did the fed make off of their purchases of subprime securities?**

60-70% and the Fed made $168b off it when it was all said and done (only lost money on capital infusions into car companies).

- **Why are YTM or YTC not really correct?**

Because assumes you can reinvest at the same rate. Only really true for zero coupon bond since no bi-annual interest payments.

This is why YTM is not used by all RX shops in cap tables. It’s just not that true that you can re-invest at such high yields reliably.

- **Why does Third Avenue (and many other distressed funds) try to get 50% of any issue?**

Revolves around fact that in the indentures for almost all publicly traded bonds, any nonmoney provision in the indenture can be modified or abrogated by the consent of 50% of the outstanding issue.

So, for example, if you want to block the capacity to be primed (have new money put in front of you in the capital structure) you can if you own 50% of a certain class of bond.

- **What does a typical prepackaged (pre-pack) POR do?**

- Obtain new exit financing from banks (primarily DIP loans)
- Reinstate or repay old bank loans
- Reinstate trade creditors
- Reinstate leases and other executory contacts
- Issue 90 and 95% of common stock to former bond holders (they may get pieces of new debt issuance as well)
- Issue 5-10% of common stock to former junior creditors, former preferred stockholders, and/or former common stockholders
- If there is litigation pending, set up and finance a litigation trust and give the common stock a small participation in lawsuit recoveries, if any
- Issue options on 6 to 12% of the common stock outstanding to management to incentive them to stay around (despite probably having lost a great deal on their prior stock holdings in the company)

- **What’s a green shoe?**

Where underwriters receive a call to acquire up to an additional 15% of the common stock raised in a registered offering.

- **What's a schedule 13D?**

When you acquire more than 5 percent of common stock, you must file a schedule 13D. Thus it makes it public that you own this amount.

- **What does section 365 of bankruptcy code give a company the capacity to do?**

Enables debtors to assume, assign, or reject executory contracts and unexpired leases.

- **How does rejecting a lease work?**

Lessor becomes an unsecured creditor with a claim worth an amount equal to the greater of one year's rent or 15 percent of the unpaid rent on the expired lease, not to exceed three years' rent.

- **What is deemed consolidated?**

Deemed consolidation is a surrogate of substantive consolidation whereby for purposes of voting and making distributions, claims are estimated as if the distinct entities were consolidated even though the reorganized entity that emerges from bankruptcy is not consolidated (it may preserve its prepetition corporate structure).

- **Bloomberg function for listing all institutional holders of debt sorted by size?**

HDS